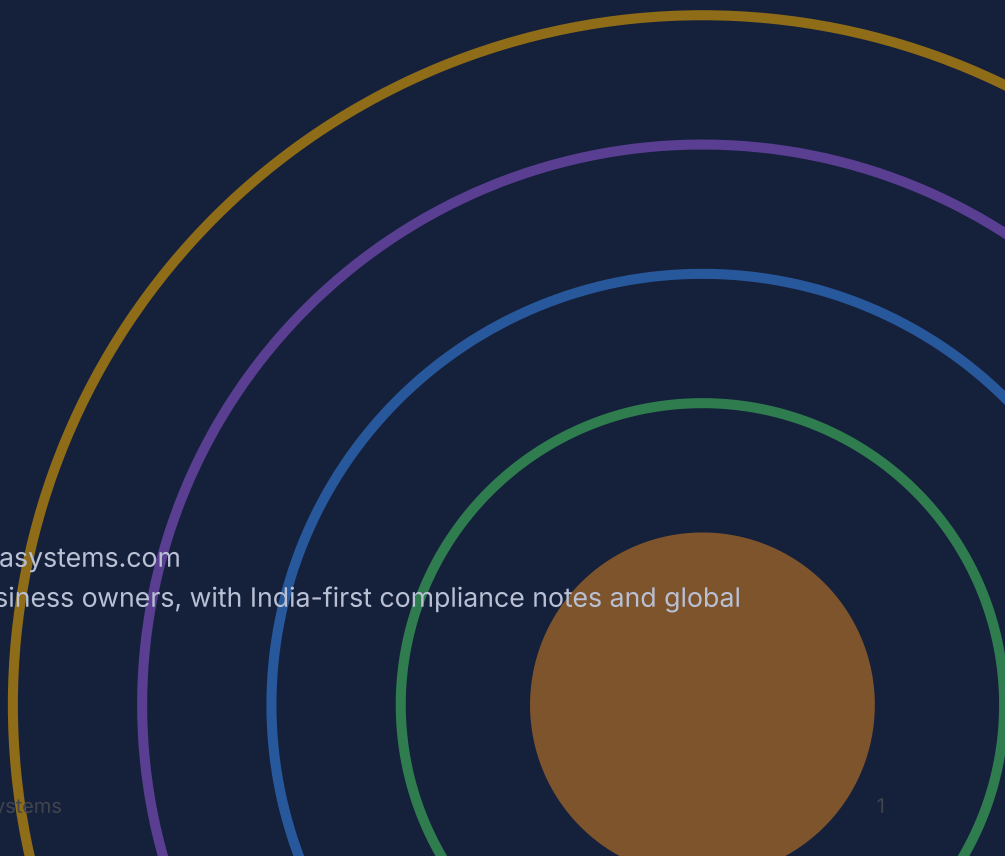
KHOSHA SYSTEMS · BUSINESS PLAYBOOK SERIES

The Pancha Khosha Business Framework

A practical e-book of checklists, step-by-step guides and fill-in templates to build, run, fund and franchise any business, from first registration to your first investor and first franchisee.

1 · Foundation | 2 · People | 3 · Systems | 4 · Growth | 5 · Scale



Edition 1 · November 2026 · khoshasystems.com
Written for founders and small-business owners, with India-first compliance notes and global pointers.

START HERE

How to use this book

Most businesses don't fail for lack of a good product. They fail because the operations underneath can't hold the weight of growth. This framework gives you that structure, one layer at a time.

The five layers (Pancha Khosha)

In Indian philosophy, the *Pancha Kosha* are the five sheaths of a human being, from the physical body to the innermost layer of fulfilment. At Khosha Systems we use the same idea for companies. A business is healthy only when every layer is healthy, and each layer depends on the one beneath it.

1 · Annamaya
Foundation. Legal entity, registrations, compliance, books and cash.

2 · Pranamaya
People. Hiring, onboarding, attendance, payroll and performance.

3 · Manomaya
Systems. SOPs, products and services catalogue, pricing and the digital stack.

4 · Vijnanamaya
Growth. Strategy, KPIs, sales pipeline, marketing and the operating rhythm.

5 · Anandamaya
Scale. Raising investment, franchising and building a business that lasts.

Three ways to use it

1. **As a diagnostic.** Take the 25-point Business Health Scorecard on the next pages. Your lowest-scoring layer is where you start.
2. **As a checklist binder.** Print the chapters you need. Every checklist uses tick boxes (☐) and every template has blank rows you can fill in by hand or copy into a spreadsheet.
3. **As a digital system.** The `templates/` folder that ships with this book has the same templates as an Excel workbook, CSV files and editable Markdown documents. Load them into Google Sheets, Notion, Zoho or your own software.

Important note

This book is general guidance, not legal, tax or investment advice. Indian rules on GST, labour codes, the Startup India scheme and company law change often. Figures here were checked in November 2026. Confirm deadlines, thresholds and contract terms with your Chartered Accountant, Company Secretary or lawyer before acting. Outside India, use the checklists as a structure and swap in your local rules.

Contents

00 **Business Health Scorecard**
25 questions to find your weakest layer

01 **Foundation: legal, compliance and books**
Entity choice, registrations, chart of accounts, bookkeeping routine, compliance calendar, cash-flow

template

02 **People: hiring, onboarding and attendance**
Hiring process, appointment-letter checklist, onboarding (pre-boarding to Day 90), attendance and leave, payroll, reviews, exits

03 **Systems: SOPs, products and services**
SOP template, value ladder, 40+ product and service ideas, catalogue and pricing templates, digital stack

04 **Growth: strategy, KPIs, sales and marketing**
One-page plan, KPI dashboard, sales pipeline, marketing calendar, meeting rhythm

05 **Scale I: getting investors**
Funding options, investor-readiness checklist, 12-step raise, pitch deck, data room, term-sheet glossary, cap table

06 **Scale II: starting your own franchise**
Readiness test, franchise models, 12 steps, fees and unit economics, operations manual, agreement checklist

07 **Your 90-day implementation roadmap**
Plus the template index, sources and About Khosha Systems

CHAPTER 00

Business Health Scorecard

Score each statement: **0** = not true, **1** = partly true, **2** = fully true. Add up each layer (maximum 10). Repeat every quarter.

Layer 1 · Foundation

Statement	Score (0–2)
My business is registered as the right legal entity, with all licences current.	
Business and personal money are in separate bank accounts.	
Books are updated at least weekly and reconciled with the bank every month.	
I know every statutory deadline (GST, TDS, PF/ESI, ROC) and haven't paid a late fee in 12 months.	
I can see my cash position for the next 13 weeks.	
Layer 1 total (out of 10)	

Layer 2 · People

Statement	Score (0–2)
Every role has a written job description and every employee has an appointment letter.	
New hires follow a documented onboarding plan and are productive within 30 days.	
Attendance and leave are recorded digitally and feed straight into payroll.	
Each person has clear goals and gets a structured review at least twice a year.	
The business can run for two weeks without me.	
Layer 2 total (out of 10)	

Layer 3 · Systems

Statement	Score (0–2)
Our top 10 recurring tasks are written down as SOPs.	
We have a written catalogue of products and services with prices and margins.	
Customer, sales and inventory data live in one system, not scattered across spreadsheets and WhatsApp.	
We earn some recurring revenue (subscriptions, AMCs, retainers).	
We use automation for at least one repetitive process (billing, reminders, reports).	
Layer 3 total (out of 10)	

Layer 4 · Growth

Statement	Score (0–2)
We have a written one-page plan with 12-month and 90-day goals.	
We review 5–10 KPIs every week.	
We know our customer acquisition cost and customer lifetime value.	
Every lead is tracked through defined pipeline stages until it closes.	
We run a planned marketing calendar, not ad-hoc posts.	
Layer 4 total (out of 10)	

Layer 5 · Scale

Statement	Score (0–2)
Our financials could pass an investor's due diligence today.	
Our brand name and logo are trademarked.	
Our cap table and shareholder agreements are clean and documented.	
One unit or location is profitable and could be copied by someone else using our manuals.	
We have a written 3-year vision and a funding or expansion strategy.	
Layer 5 total (out of 10)	

Reading your score. 0–4 in a layer: urgent, fix this first. 5–7: functional but fragile. 8–10: strong. Work from the bottom layer up. A franchise built on messy books, or a funding round built on an undocumented team, will crack.

CHAPTER 01 · ANNAMAYA · FOUNDATION

Legal, compliance and books

The physical body of your business: the entity that owns everything, the licences that let you trade, and the books that tell you the truth.

1.1 Choose the right legal structure

Structure	Best for	Liability	Can raise equity?	Compliance load
Sole proprietorship	Solo trader or freelancer testing an idea	Unlimited (personal)	No	Lowest
Partnership firm	Small family or trading businesses	Unlimited, joint	No	Low
LLP	Professional services, agencies, consultancies	Limited	Limited (no shares; VCs rarely invest)	Moderate
One Person Company (OPC)	Solo founder who wants limited liability	Limited	Must convert first	Moderate
Private Limited Company	Anyone planning to raise investment, offer ESOPs or franchise at scale	Limited	Yes (the investor standard)	Highest

Rule of thumb: if you plan to raise outside capital within 24 months, start as a Private Limited Company. Converting later costs time and money and can trigger tax questions.

1.2 Registration and licence checklist (India)

- [ ] Entity incorporation (MCA SPICe+ for companies, FiLLiP for LLPs)
- [ ] PAN and TAN for the entity
- [ ] Current bank account in the business name
- [ ] GST registration: mandatory once turnover crosses ₹40 lakh (goods) or ₹20 lakh (services), with lower limits in special-category states. Required from day one for inter-state supply of goods and most e-commerce selling
- [ ] Shops & Establishment registration (state law, usually within 30 days of opening)
- [ ] Professional Tax registration (in states that levy it, such as Karnataka and Maharashtra)
- [ ] Udyam (MSME) registration: free, and unlocks priority lending and delayed-payment protection
- [ ] EPF registration once you have 20 or more employees
- [ ] ESI registration once you have 10 or more employees (wage ceiling applies)
- [ ] Trademark application for brand name and logo (Class-wise, via IP India)
- [ ] Industry licences: FSSAI (food), Drug licence, Trade licence, IEC (import/export), RERA (real estate), and so on
- [ ] DPIIT Startup India recognition, if you qualify (see Chapter 05)
- [ ] Domain name, business email and a basic website
- [ ] Founders' agreement (vesting, roles, IP assignment, exit terms)

1.3 Set up your books

Use cloud accounting software (Zoho Books, Tally Prime, QuickBooks or similar) from day one. Start with this simplified chart of accounts and add sub-accounts only when you need them.

Code	Group	Typical accounts
1000	Assets	Bank accounts, cash, accounts receivable, inventory, GST input credit, TDS receivable, security deposits, fixed assets
2000	Liabilities	Accounts payable, GST output payable, TDS payable, PF/ESI payable, salaries payable, loans, customer advances

Code	Group	Typical accounts
3000	Equity	Share capital or partner capital, reserves and surplus, drawings
4000	Income	Product sales, service income, subscription income, franchise fees, royalty, other income
5000	Direct costs	Purchases, raw material, direct labour, freight inward, payment gateway fees
6000	Operating expenses	Salaries, rent, utilities, software, marketing, travel, professional fees, repairs, insurance
7000	Finance and other	Interest, bank charges, depreciation, income tax

1.4 The bookkeeping routine

Daily (10 minutes)

- [ ] Raise invoices for everything delivered today
- [ ] Record cash sales and petty cash
- [ ] Upload bills and receipts (photograph them)
- [ ] Check the bank balance against expected receipts

Weekly (30 minutes)

- [ ] Categorise all bank transactions
- [ ] Send payment reminders for overdue invoices
- [ ] Schedule vendor payments
- [ ] Update the 13-week cash-flow forecast

Monthly (half a day)

- [ ] Reconcile every bank and card account
- [ ] Run payroll and deduct TDS, PF, ESI and PT
- [ ] Pay statutory dues and file GST returns
- [ ] Review the P&L, balance sheet and receivables ageing
- [ ] Compare actuals to budget

Annually

- [ ] Physical inventory and fixed-asset count
- [ ] Statutory audit (companies) and tax audit (if applicable)
- [ ] Income-tax return, ROC annual filings
- [ ] Set next year's budget and pricing

1.5 Compliance calendar (India, standard due dates)

When	What	Who it applies to
7th of every month	Deposit TDS/TCS deducted in the previous month (March TDS is due 30 April)	Anyone deducting TDS
11th of every month	GSTR-1 (outward supplies). Quarterly under QRMP if eligible	GST-registered businesses
15th of every month	EPF and ESI contributions	Employers registered under EPF/ESI
20th of every month	GSTR-3B summary return and tax payment (staggered 22nd/24th for QRMP filers)	GST-registered businesses
15 Jun · 15 Sep · 15 Dec · 15 Mar	Advance tax instalments (15% · 45% · 75% · 100%)	Businesses with tax liability above ₹10,000

When	What	Who it applies to
31 Jul · 31 Oct · 31 Jan · 31 May	Quarterly TDS returns (24Q salaries, 26Q others)	TDS deductors
30 May / 30 Oct	LLP Form 11 (annual return) / Form 8 (accounts and solvency)	LLPs
By 30 Sep	Annual General Meeting; DIR-3 KYC for directors; tax audit report	Companies; directors; audited businesses
Within 30 / 60 days of AGM	AOC-4 (financial statements) / MGT-7 (annual return)	Companies
31 Jul / 31 Oct	Income-tax return (non-audit / audit cases)	All taxpayers
31 Dec	GSTR-9 annual return (and 9C where applicable)	GST-registered businesses above the threshold

Dates are statutory defaults. The government often extends them, and state Professional Tax dates vary. Ask your CA to load these into a shared calendar with reminders 5 days ahead.

1.6 Invoice must-haves (GST)

- [ ] Supplier name, address, GSTIN
- [ ] Unique, consecutive invoice number (max 16 characters) and date
- [ ] Customer name, address and GSTIN (for B2B)
- [ ] Place of supply (state)
- [ ] HSN code (goods) or SAC code (services)
- [ ] Description, quantity, unit, rate
- [ ] Taxable value, discounts
- [ ] CGST + SGST, or IGST, with rates and amounts
- [ ] Whether reverse charge applies
- [ ] Signature or digital signature
- [ ] E-invoice IRN and QR code (if your turnover requires it)
- [ ] Bank details and payment terms

1.7 Template: 13-week cash-flow forecast

Line	Wk 1	Wk 2	Wk 3	Wk 4	Wk 5	Wk 6	...	Wk 13
Opening cash								
+ Customer receipts								
+ Other inflows (loans, capital)								
− Salaries and contractors								
− Rent and utilities								
− Suppliers and inventory								
− Taxes (GST, TDS, advance tax)								
− Loan EMIs and other								
Closing cash								

Target: keep closing cash above three months of fixed costs. If a week dips below that, act now: chase receivables, delay non-critical spending, or arrange a working-capital line before you need it.

CHAPTER 02 · PRANAMAYA · PEOPLE

Hiring, onboarding and attendance

The life force of your business. Good systems let ordinary people do extraordinary work, and good onboarding decides whether a hire stays three years or three weeks.

2.1 The 8-step hiring process

1. **Define the role.** Write the outcomes the role owns in its first 12 months, not just a task list. Set the salary band before you advertise.
2. **Write the job description:** purpose, 5–7 key responsibilities, must-have and nice-to-have skills, location, salary range, and how to apply.
3. **Source** through referrals first (they're the most reliable), then job portals, LinkedIn, campus and local networks.
4. **Screen** with a 15-minute phone call on motivation, salary expectations, notice period and deal-breakers.
5. **Assess** with a paid or short practical task that mirrors the real job.
6. **Interview** with a structured scorecard (same questions, scored 1–5) and at least two interviewers.
7. **Check references** (two minimum) and verify documents and background.
8. **Offer** in writing, then issue the appointment letter on joining.

2.2 Appointment letter checklist

India's four Labour Codes came into force on 21 November 2025, replacing 29 older central labour laws. One visible change: the OSH Code requires employers to give **every** employee an appointment letter, including fixed-term and contract staff. Make sure each letter covers:

- ☐ Employee name, designation and employee ID
- ☐ Date of joining and place of work
- ☐ Category: permanent, probation, fixed-term or contract
- ☐ Wages: basic pay, allowances, CTC breakdown
- ☐ Wage structure checked against the Codes' 50% "wages" rule for PF and gratuity
- ☐ Working hours, weekly off, overtime terms
- ☐ Leave entitlements
- ☐ Probation period and confirmation process
- ☐ Notice period and termination terms
- ☐ Social security: PF, ESI, gratuity, insurance
- ☐ Confidentiality, IP assignment and code of conduct
- ☐ Reporting manager and grievance mechanism

State rules under the Codes were still being notified through 2026. Have an employment lawyer check your template.

2.3 New employee onboarding checklist

PRE-BOARDING Before Day 1

- [ ] Send the offer letter and get it signed
- [ ] Collect documents: ID and address proof, PAN, Aadhaar (with consent), education and experience certificates, relieving letter, last 3 payslips, bank details, photo, emergency contact, UAN (if any)
- [ ] Do background and reference checks
- [ ] Create email, software logins and access cards
- [ ] Prepare laptop, desk, ID card, visiting cards and uniform
- [ ] Assign a buddy (a peer, not their manager)
- [ ] Share a welcome email: time, place, dress code, Day 1 agenda
- [ ] Tell the team who is joining and why

DAY 1 Welcome

- [ ] Founder or manager welcome. Explain the company story, mission and values
- [ ] Office tour and introductions
- [ ] Issue the appointment letter and get policies acknowledged
- [ ] Fill in PF/ESI nomination forms and enrol for insurance
- [ ] Set up all tools and test logins
- [ ] Walk through the 30/60/90 plan
- [ ] Team lunch
- [ ] End-of-day check-in: "What questions do you have?"

WEEK 1 Learn

- [ ] Training on products and services and the top 5 customer problems
- [ ] Read the SOPs for their role
- [ ] Shadow a senior colleague for 2–3 days
- [ ] Complete one small, real deliverable
- [ ] Meet key cross-functional people
- [ ] Week-1 feedback conversation with the manager

30 · 60 · 90 Ramp

- [ ] **Day 30:** knows the products, tools and processes; owns small tasks independently
- [ ] **Day 60:** owns a full workflow; contributes ideas; KPIs agreed
- [ ] **Day 90:** fully productive against KPIs; probation review; confirmation decision
- [ ] Onboarding survey: what should we improve?

Onboarding owner: _____
Buddy: _____
Start date: _____
Probation ends: _____

2.4 Attendance and leave policy (template)

1. Working hours. Our working hours are __:__ to __:__, __ days a week, with a __-minute break. The weekly off is _____.

2. Recording attendance. Employees mark attendance through _____ (biometric, mobile app with geo-tag, or web check-in). Grace time is __ minutes. Three late marks in a month count as half a day of leave.

3. Leave types. Earned/privilege leave __ days a year; casual leave __; sick leave __; public holidays __; maternity leave as per law; bereavement __. Leave must be applied for __ days ahead, except sick leave.

4. Carry-forward and encashment. Up to __ days of earned leave carry forward; the rest is encashed or lapses as per law.

5. Remote work, field work and overtime need manager approval in the system. Overtime is paid at twice the ordinary wage rate where the law requires.

6. Unauthorised absence of __ or more consecutive days without notice will lead to disciplinary action.

Monthly attendance register

Emp ID	Name	1	2	3	4	5	...	31	P	A	L	H/WO	OT hrs

Codes: P = present · A = absent · L = leave (CL/SL/EL) · HD = half day · WO = weekly off · H = holiday · WFH = work from home. The workbook version counts these automatically.

2.5 Monthly payroll checklist

- [ ] Lock attendance and leave by the 25th
- [ ] Add new joiners and exits, revisions, bonuses and reimbursements
- [ ] Calculate gross pay, then deduct PF, ESI, Professional Tax and TDS on salary
- [ ] Check investment declarations for TDS
- [ ] Get approval and pay salaries by the date in your policy
- [ ] Email payslips
- [ ] Deposit PF/ESI by the 15th and TDS by the 7th
- [ ] Book the payroll journal entry

2.6 Performance review template

Area	Goal / KPI	Self rating (1–5)	Manager rating (1–5)	Evidence and comments
Results				
Quality of work				
Customer focus				

Area	Goal / KPI	Self rating (1–5)	Manager rating (1–5)	Evidence and comments
Teamwork and values				
Learning and growth				

End every review with three things: **keep doing**, **start doing**, **stop doing**. Agree on goals for the next cycle.

2.7 Exit (offboarding) checklist

- ☐ Accept the resignation in writing and confirm the last working day
- ☐ Agree a knowledge-transfer plan and handover document
- ☐ Recover laptop, ID card, keys and documents
- ☐ Revoke all system access on the last day
- ☐ Exit interview: why are they leaving?
- ☐ Full and final settlement (now due within 2 working days of exit under the Code on Wages)
- ☐ Issue relieving and experience letters
- ☐ Pay gratuity where eligible; issue Form 16

CHAPTER 03 · MANOMAYA · SYSTEMS

SOPs, products and services

The mind of your business: how work gets done, what you sell, and the software that holds it together. Systems are what let you step back from day-to-day work, and later what you sell to investors and franchisees.

3.1 How to write an SOP in 7 steps

1. List every recurring task. Rank them by frequency × cost of a mistake. Document the top 10 first.
2. Record the best person doing the task: a screen recording or phone video with narration.
3. Turn it into numbered steps, each starting with a verb ("Open…", "Check…", "Send…").
4. Add screenshots, the trigger (when it starts), the owner, and what "done" looks like.
5. Test it: someone new follows the SOP alone. Fix wherever they get stuck.
6. Store all SOPs in one searchable place (Notion, Google Drive or your intranet).
7. Review every SOP every 6 months, or whenever the process or tool changes.

SOP template

SOP title & ID: _____

Purpose (why this matters): _____

Owner: _____ **Frequency:** _____

Trigger (when it starts): _____

Tools / inputs needed: _____

Steps 1–10: _____

_____

_____

_____

Definition of done / quality check: _____

Common mistakes and fixes: _____

Version · last reviewed · approved by: _____

3.2 The value ladder: what a business can offer

Most small businesses sell one thing at one price. Stronger businesses build a **ladder** of offers that takes a stranger to a loyal, recurring customer. Use the table to design yours.

Rung	Purpose	Examples
1. Free value	Attract and build trust	Free checklist or guide, consultation, demo, sample, audit, workshop, calculator

Rung	Purpose	Examples
2. Entry offer	Turn strangers into customers at low risk	Trial pack, starter plan, diagnostic report, single session, small first order
3. Core offer	Your main revenue	Main product range, standard service package, project delivery
4. Upsells and add-ons	Raise average order value	Premium version, installation, express delivery, extended warranty, accessories, priority support
5. Recurring revenue	Predictable cash flow, which investors value highly	Subscription, membership, AMC, retainer, SaaS licence, refill plan
6. High-ticket	Highest margin, fewest clients	Done-for-you service, enterprise contract, custom build, consulting
7. Leverage offers	Earn from your know-how without more hours	Training and certification, licensing, franchising, white-label, marketplace, courses

3.3 Product and service ideas by industry

Industry	Products	Services and recurring revenue ideas
Retail / mobile and electronics	Devices, accessories, refurbished stock, own-label accessories	Extended warranty, screen-protection plans, repairs, buy-back and exchange, EMI tie-ups, data transfer, corporate gifting
Food and beverage	Packaged sauces, mixes, gift hampers, frozen range	Catering, subscription tiffin, cooking classes, cloud-kitchen brands, franchise outlets
Real estate	Plots, apartments, commercial units	Property management, rental management, interior packages, home-loan assistance, resale desk, NRI services
Professional services (CA, legal, consulting)	Templates, toolkits, e-books	Monthly compliance retainers, virtual CFO, audits, training workshops, white-labelled services for other firms
Health and wellness	Supplements, equipment, own-brand products	Memberships, packages, corporate wellness, online coaching, diagnostics partnerships
Education and training	Books, kits, recorded courses	Cohort programmes, certification, placement services, B2B corporate training, franchise centres
Manufacturing / B2B	Core SKUs, spares, custom builds	AMC, installation, operator training, consumables subscription, private-label manufacturing
Beauty and salons	Own-brand skincare and hair products	Membership packages, bridal packages, academy, home services, franchise
Tech / agency	SaaS, templates, plugins	Retainers, maintenance AMC, AI automation, training, white-label development

3.4 Template: product and services catalogue

SKU / code	Name	Type	Description and who it's for	Unit	Cost	Price	Margin %	HSN/SAC · GST %

3.5 Pricing worksheet

Cost-plus floor

Direct cost per unit (A): _____

Share of overheads per unit (B): _____

Target margin % (M): _____

Floor price = (A + B) ÷ (1 − M): _____

Value ceiling

Competitor price range: _____

Value created for the customer (₹): _____

Our differentiator: _____

Final price (floor ≤ price ≤ ceiling): _____

Good-better-best: offer three tiers. Most buyers pick the middle one, so design it to be the one you most want to sell.

3.6 Your digital stack

Replace scattered spreadsheets and WhatsApp threads with connected systems. At minimum you need one tool for each row, and they should share data.

Function	What it does	Example tools
Accounting and GST	Invoices, bills, GST returns, bank reconciliation	Zoho Books, Tally Prime, QuickBooks
HR and payroll	Attendance, leave, payroll, statutory compliance	Zoho People/Payroll, greytHR, Keka, RazorpayX Payroll
CRM and sales	Leads, pipeline, follow-ups, quotes	Zoho CRM, HubSpot, an industry-specific CRM
Point of sale and inventory	Billing, stock, serial/IMEI tracking	Industry POS, retail OS
Communication	Team chat, customer messaging	Slack / Google Chat, WhatsApp Business API
Documents and SOPs	Wiki, file storage, e-signatures	Notion, Google Workspace, DocuSign / Leegality
Automation and AI	Connect tools, automate reminders, reports and replies	Zapier, Make, custom AI agents

Where Khosha Systems fits. We build vertically integrated systems that replace patchwork tools: **RetailerOS** for mobile and electronics retailers (IMEI tracking, scheme management, GST billing, analytics), a **Real Estate CRM** (portal lead capture, site visits, channel-partner portal, document vault), a **Visitor Management System** (QR and tablet check-in, WhatsApp and SMS host alerts, RERA-compliant logs), plus custom workforce tools and AI automation for everything else.

CHAPTER 04 · VIJNANAMAYA · GROWTH

Strategy, KPIs, sales and marketing

The wisdom layer: knowing where you're going, measuring whether you're getting there, and running a steady rhythm that turns plans into results.

4.1 One-page business plan

Section	Your answer
Purpose: why we exist	
Target customer: who exactly	
Problem we solve	
Our offer and why it's better	
3-year vision: revenue, team, locations	
12-month goals (3 max)	
This quarter's priorities (3–5 "rocks")	
Key numbers we track	
Biggest risks and how we'll handle them	

4.2 KPI dashboard: pick 5–10

KPI	Formula	Why it matters	Target	This week
Revenue	Total invoiced sales	Top-line growth		
Gross margin %	(Revenue – direct costs) ÷ revenue	Pricing power and efficiency		
Cash runway	Cash ÷ monthly net burn	How long you can survive		
Leads → customers	New customers ÷ new leads	Sales effectiveness		
CAC	Sales and marketing spend ÷ new customers	Cost to win a customer		
LTV	Average order × orders a year × years retained × margin	Value of a customer. Aim for LTV ≥ 3 × CAC		
Receivable days (DSO)	Receivables ÷ revenue × 365	How fast you get paid		
Repeat or retention rate	Returning customers ÷ total customers	Loyalty and product fit		

KPI	Formula	Why it matters	Target	This week
NPS	% promoters − % detractors	Customer happiness		
Revenue per employee	Revenue ÷ headcount	Productivity		

4.3 Sales pipeline stages

Stage	Exit criteria (move on when…)	Typical win probability
1. New lead	Contact details captured and source tagged	5%
2. Contacted / qualified	Need, budget, decision-maker and timeline confirmed	15%
3. Meeting / demo / site visit	Solution shown; requirements documented	30%
4. Proposal sent	Written quote with scope and price	50%
5. Negotiation	Terms agreed in principle	75%
6. Won / lost	Contract or advance received / reason for loss recorded	100% / 0%

- [ ] Respond to every new lead within 5 minutes during business hours (automate the first reply)
- [ ] Follow up at least 5 times before marking a lead lost
- [ ] Record a reason for every lost deal, and review the patterns monthly

4.4 Marketing plan on a page

Owned channels

- [ ] Website with clear offer, proof and call to action
- [ ] Google Business Profile, with reviews requested after every sale
- [ ] WhatsApp Business catalogue and broadcast list
- [ ] Email newsletter (monthly)
- [ ] Two or three social posts a week on one or two platforms

Growth channels

- [ ] Referral programme with a reward for both sides
- [ ] Partnerships with complementary businesses
- [ ] Paid ads (Meta / Google) with a fixed test budget and a CAC target
- [ ] SEO content answering customers' top 20 questions
- [ ] Events, workshops and local community

4.5 The operating rhythm

Meeting	When	Length	Agenda
Daily huddle	Every morning	10–15 min	Yesterday's wins, today's priority, anything blocking you
Weekly leadership	Same day every week	60–90 min	KPI scorecard, quarterly priorities on/off track, customer and people issues, solve the top 3 issues

Meeting	When	Length	Agenda
Monthly business review	First week of the month	2 hrs	P&L vs budget, cash, pipeline, hiring, project status
Quarterly planning	Last week of the quarter	Half a day	Review the quarter, set next quarter's 3–5 priorities, update the one-page plan
Annual strategy	Before the financial year starts	1–2 days	Vision, 12-month goals, budget, org chart, pricing

CHAPTER 05 · ANANDAMAYA · SCALE I

How to get investors in your company

Outside capital works like fuel: useful only when the engine (Layers 1–4) is sound. This chapter explains your funding options, how to prepare, and how a round actually runs.

5.1 Should you raise at all?

Raise equity when...

- The market is large and timing matters (winner-takes-most)
- You've shown customers want it (paying users, repeat orders, growth)
- Each rupee invested can return several rupees of enterprise value
- You're ready to give up a share of ownership and report to a board

Consider alternatives when...

- The business is profitable and can grow from its own cash
- You need working capital, not growth capital (use debt)
- The market is steady and local (franchising or loans may fit better)
- You want full control and dividends rather than an exit

5.2 Funding options compared

Source	Typical stage	Typical size (India)	What they want
Bootstrapping / revenue	Any	Your cash flow	Nothing. You keep 100%
Friends and family	Idea / prototype	₹5–50 lakh	Trust in you. Still document it properly
Government grants and schemes	Proof of concept to early market	Startup India Seed Fund Scheme: up to ₹20 lakh grant (proof of concept) and up to ₹50 lakh as debt or convertibles (market entry), via approved incubators. State startup policies add more	Innovation, DPIIT recognition, milestones
Angel investors and networks	Pre-seed / seed	₹25 lakh–₹3 crore	A strong founder, early traction, a big market
Incubators and accelerators	Pre-seed	Small cheque plus mentoring for 3–10% equity	Coachable team, fast execution
Seed / early-stage VC	Seed to Series A	₹2–25 crore	Product-market fit, a path to 5–10× growth
Growth VC / private equity	Series B and beyond	₹50 crore+	Proven unit economics, scale, a route to IPO or acquisition

Source	Typical stage	Typical size (India)	What they want
Bank and MSME loans	Revenue-generating	Varies. CGTMSE guarantees collateral-free loans to micro and small enterprises	Cash flow to repay, Udyam registration, good credit history
Venture debt / revenue-based financing	Post-revenue, often alongside VC	A share of recent revenue or of the last equity round	Predictable recurring revenue
Crowdfunding / community rounds	Consumer brands	Varies	A strong community and story (securities crowdfunding is restricted in India, so check with counsel)
Strategic investors / corporates	Any	Varies	Synergy with their business, a distribution deal

5.3 Investor-readiness checklist

- [ ] Incorporated as a Private Limited Company
- [ ] DPIIT Startup India recognition (eligible companies and LLPs up to 10 years old, below the turnover cap; check the 2026 notification for current limits)
- [ ] Founders' agreement with vesting (typically 4 years, 1-year cliff)
- [ ] All IP (code, brand, designs) assigned to the company, not the founders
- [ ] Trademark filed
- [ ] Clean, up-to-date books and audited financials for past years
- [ ] All ROC, GST, TDS and PF filings current, with no outstanding notices
- [ ] Cap table in a spreadsheet that ties back to MCA records
- [ ] Employee contracts, appointment letters and an ESOP pool plan
- [ ] Key customer contracts in writing
- [ ] Financial model: 3 years monthly, with assumptions
- [ ] Pitch deck (12 slides) plus a one-page teaser
- [ ] KPI dashboard with 12+ months of history
- [ ] Use of funds and an 18–24-month milestone plan
- [ ] Data room organised (see 5.6)
- [ ] A list of 50–100 target investors who fit your stage and sector

> **On angel tax:** the old Section 56(2)(viib) "angel tax" on share premiums was abolished by the Finance (No. 2) Act, 2024. You still need a proper valuation report and FEMA compliance for foreign investors, and DPIIT recognition still unlocks benefits such as the Section 80-IAC tax holiday (on application), IPR fee rebates, self-certification under some labour laws and Seed Fund access.

5.4 The 12-step fundraising process

1. **Decide the amount and the milestones.** Raise enough for 18–24 months of runway to reach the milestones that justify the next round.
2. **Choose the instrument:** equity shares, CCPS (compulsorily convertible preference shares, the Indian VC standard), CCDs, convertible notes (allowed for DPIIT startups), or iSAFE notes for quick early rounds.

3. **Build the financial model and valuation logic.** Early valuations are negotiated. Dilution of 10–25% per round is typical.
4. **Prepare the deck, teaser and data room** before contacting anyone.
5. **Build the investor list** by stage, sector, cheque size and portfolio conflicts. Rank them A/B/C.
6. **Get warm introductions** through portfolio founders, mentors, CAs and lawyers. Cold emails work best with a crisp teaser and strong traction.
7. **Run a tight process.** Pitch your B-list first for practice, then pack the A-list meetings into 4–6 weeks so you create momentum.
8. **Follow up with monthly investor updates.** They show progress and build trust even with investors who say "not now".
9. **Negotiate the term sheet.** Focus on valuation, liquidation preference, board, anti-dilution, ESOP pool and vesting (see 5.7).
10. **Due diligence:** financial, legal, tax and technical. A clean data room cuts this from months to weeks.
11. **Definitive agreements:** Share Subscription Agreement (SSA) and Shareholders' Agreement (SHA). Amend the Articles of Association.
12. **Close and comply:** receive funds, allot shares (PAS-3 to the ROC), FEMA filings (FC-GPR) for foreign money, update the cap table and statutory registers. Then deliver on the use-of-funds plan.

5.5 The 12-slide pitch deck

#	Slide	What to show
1	Title	Company name, one-line description, logo, contact
2	Problem	The painful, expensive problem, with a real customer story or data
3	Solution	Your product and why it's 10× better
4	Why now	The trend, regulation or technology shift that makes this the moment
5	Market size	TAM / SAM / SOM, built bottom-up (customers × price)
6	Product	Screenshots or a demo, the key features, the roadmap
7	Traction	Revenue, growth rate, customers, retention, logos, testimonials
8	Business model	How you make money, pricing, unit economics (CAC, LTV, margin)
9	Go-to-market	Channels, sales motion, partnerships
10	Competition	Landscape and your unfair advantage (not "we have no competitors")
11	Team	Why this team wins: relevant experience, advisors, key hires planned
12	The ask	Amount, instrument, use of funds, milestones it will reach

5.6 Data room checklist

- [ ] **Corporate:** Certificate of Incorporation, MoA and AoA, board and shareholder minutes, statutory registers
- [ ] **Cap table:** share certificates, past SHAs and SSAs, ESOP plan and grants
- [ ] **Financials:** audited statements (3 years or since start), monthly MIS, the financial model, bank statements
- [ ] **Tax:** GST returns, ITRs, TDS filings, any notices and their resolution
- [ ] **Legal:** customer, vendor and lease contracts; litigation (if any)
- [ ] **IP:** trademark and patent filings, IP assignment agreements
- [ ] **People:** org chart, employment contracts, policies, PF/ESI compliance
- [ ] **Product and tech:** architecture overview, security practices, roadmap
- [ ] **Commercial:** top-customer list, pipeline, unit economics, KPI history
- [ ] **Licences:** all registrations from Chapter 01

5.7 Term-sheet glossary

Term	Plain-English meaning	Founder-friendly position
Pre-money / post-money valuation	Company value before / after the new money comes in	Be clear which one is being quoted
Liquidation preference	Who gets paid first on a sale or shutdown, and how much	1× non-participating
Anti-dilution	Protects the investor if a future round is priced lower	Broad-based weighted average (avoid full ratchet)
ESOP pool	Shares reserved for employees	Size it to the real hiring plan. Watch out for a pool carved out of pre-money
Board composition	Who sits on the board	Founders keep a majority at the early stage
Founder vesting	Founders earn their shares over time	Credit for time already served
Pro-rata rights	Investor's right to invest in future rounds to keep their %	Standard
ROFR / tag-along / drag-along	Rules on share transfers and selling the company	Drag-along only with a majority threshold

Term	Plain-English meaning	Founder-friendly position
Reserved matters / veto rights	Decisions that need investor consent	Limit to major matters, not day-to-day operations
Exclusivity / no-shop	You can't talk to other investors for a period	30–45 days maximum

5.8 Simple cap table example

Shareholder	Before round (shares)	%	New shares	After round (shares)	%
Founder A	6,00,000	60.0%	–	6,00,000	48.0%
Founder B	3,00,000	30.0%	–	3,00,000	24.0%
ESOP pool	1,00,000	10.0%	50,000	1,50,000	12.0%
Seed investor	–	–	2,00,000	2,00,000	16.0%
Total	**10,00,000**	**100%**	**2,50,000**	**12,50,000**	**100%**

Example: the investor puts in ₹2 crore for 2,00,000 new shares at ₹100 each, and the ESOP pool is topped up by 50,000 shares in the same round. That makes the post-money valuation ₹12.5 crore (12,50,000 shares × ₹100) and the pre-money ₹10.5 crore. Because the pool top-up counts in the price, it dilutes the founders rather than the investor: a common negotiation point. The workbook version calculates this automatically.

Seven fundraising mistakes to avoid

1. Raising with messy books and late filings
2. Giving away too much equity too early (keep founders above 50–60% after seed)
3. Taking money from someone who doesn't fit (wrong stage, sector or values)
4. Fundraising for too long. Set a deadline and keep running the business
5. Signing a term sheet without a startup lawyer
6. Mixing investment money with operating money without a budget
7. Going silent with investors after the money lands

CHAPTER 06 · ANANDAMAYA · SCALE II

Steps to start your own franchise

Franchising lets you grow with other people's capital and local energy, but only if your business is a system someone else can copy and run profitably. Read this chapter as the franchisor: the brand owner.

6.1 Franchise readiness test

Answer yes or no. You need at least 8 yes answers before you franchise.

- ☐ At least one unit (ideally 2–3) has been profitable for 2+ years
- ☐ Results are repeatable in a different location or city
- ☐ The business runs to documented SOPs without the founder
- ☐ Unit economics leave enough margin for the franchisee AND your royalty
- ☐ The brand has recognition and customer loyalty
- ☐ Trademarks are registered in the relevant classes
- ☐ The model can be taught in 2–6 weeks of training
- ☐ The supply chain can serve outlets in new geographies
- ☐ You have the capital and team to support franchisees (launch, audits, marketing)
- ☐ Market demand exists in your target cities

6.2 Choose a franchise model

Model	Who owns and invests	Who operates	Best when
FOFO (franchise-owned, franchise-operated)	Franchisee	Franchisee	Fastest, lowest-capital expansion. The most common model
FOCO (franchise-owned, company-operated)	Franchisee invests	Brand runs it and shares revenue	Quality-sensitive formats; passive investors
COCO (company-owned, company-operated)	Brand	Brand	Flagship and pilot stores. Not a franchise, but proves the model
COFO (company-owned, franchise-operated)	Brand owns the asset	Operator manages for a fee or share	Prime locations the brand wants to keep
Master / area franchise	Master franchisee for a region	Opens or sub-franchises units	Entering a new state or country quickly
Licensing / dealership	Licensee	Licensee, with lighter controls	Product brands; light-touch expansion

6.3 The 12 steps to franchise your business

1. **Prove the prototype.** Make one or more units consistently profitable, then document their exact P&L.

2. **Protect the brand.** Register trademarks (name, logo, tagline) in every relevant class before you sign anyone. Record recipes, designs and software as trade secrets or copyright.
3. **Design unit economics for the franchisee.** Total investment, payback period (aim for 18–36 months), breakeven month, and expected ROI after royalty.
4. **Set your fee structure** (see 6.4) and choose the model (FOFO, FOCO and so on).
5. **Write the operations manual** (see 6.6). This is the heart of the franchise.
6. **Draft the legal documents** with a franchise lawyer: Franchise Agreement, Franchise Disclosure Document, NDA, Letter of Intent, and a trademark licence (if separate).
7. **Build the support system:** training academy, launch kit, supply chain, POS/ERP, marketing playbook, field audit team.
8. **Define the ideal franchisee** and a scoring process (see 6.8). Choose operators, not just investors.
9. **Create sales material:** franchise brochure, website page, investment table, testimonials, unit P&L.
10. **Recruit:** franchise expos, franchise portals, LinkedIn, existing customers (often the best franchisees), brokers.
11. **Launch the first 3–5 franchisees near home** so you can support them closely. Fix the system before you expand further.
12. **Scale with governance:** monthly reviews, mystery audits, a franchise advisory council, a shared marketing fund, and technology that gives you live visibility of every outlet.

6.4 Franchise fee structure

Fee	What it covers	Typical range (India)
One-time franchise fee	Brand rights, territory, training, launch support	₹2 lakh–₹25 lakh, depending on brand strength
Royalty	Ongoing brand use and support	4–10% of gross sales, or a fixed monthly fee
Marketing / ad fund	National and regional brand marketing	1–4% of gross sales
Technology fee	POS, ERP, app, website listing	Fixed monthly per outlet
Supply margin	Margin on proprietary products and raw materials	Varies (disclose it openly)
Renewal and transfer fees	Agreement renewal; selling the franchise to someone else	A fraction of the initial fee

Ranges are indicative only. Franchise fees and royalties attract GST in India, so build that into the franchisee's investment table.

6.5 Template: franchisee unit economics

Line item	Amount (₹)
Franchise fee	

Line item	Amount (₹)
Fit-out, interiors and signage	
Equipment and technology	
Opening inventory	
Security deposit (rent)	
Working capital (3 months)	
Total investment (A)	
Monthly revenue	
– Cost of goods	
– Rent, salaries, utilities	
– Royalty and marketing fund	
Monthly operating profit (B)	
Payback in months = A ÷ B	

6.6 Operations manual: table of contents

1. Welcome, brand story, mission and values
2. Brand standards: logo use, store design, uniforms, tone of voice
3. Site selection criteria and fit-out specifications
4. Pre-opening checklist and launch plan
5. Products and services: recipes and specs, quality standards
6. Daily opening and closing procedures
7. Customer service standards and complaint handling
8. Staffing: hiring, onboarding, training and attendance (Chapter 02)
9. Inventory, approved suppliers and ordering
10. POS, technology and reporting
11. Cash handling, banking, accounting and royalty reporting
12. Local marketing playbook and approved materials
13. Health, safety, hygiene and statutory compliance
14. Audits, KPIs and scorecards
15. Crisis management and escalation contacts
16. Forms and templates

6.7 Franchise agreement and disclosure checklist

India has no single franchise statute. Franchising is governed by contract law, trademark law, competition law, GST and FEMA (for cross-border deals). That makes your agreement and a voluntary disclosure document doubly important. In the **United States**, by contrast, the FTC Franchise Rule requires franchisors to give a Franchise Disclosure Document (FDD) with 23 specified items at least 14 calendar days before signing or payment, and several states also require registration. If you franchise abroad, use a local franchise lawyer.

Franchise agreement clauses

- [ ] Grant of rights and trademark licence
- [ ] Territory and exclusivity
- [ ] Term, renewal and conditions
- [ ] All fees, royalty basis, payment dates, GST
- [ ] Site approval and fit-out standards
- [ ] Training and ongoing support obligations
- [ ] Approved suppliers and pricing
- [ ] Reporting, audit and inspection rights
- [ ] Marketing fund rules
- [ ] Confidentiality and IP protection
- [ ] Non-compete (during the term) and non-solicit
- [ ] Transfer, sale and succession
- [ ] Default, cure period and termination
- [ ] Post-termination obligations (de-branding)
- [ ] Dispute resolution: arbitration seat and governing law

Disclosure document contents

- [ ] Franchisor background, directors and experience
- [ ] Litigation and bankruptcy history
- [ ] Initial and ongoing fees in full
- [ ] Estimated total initial investment
- [ ] Supplier restrictions and franchisor margins
- [ ] Territory rules
- [ ] Training and support provided
- [ ] Financial performance data (if shared), with assumptions
- [ ] Number of outlets opened, closed and transferred
- [ ] Contacts of current and former franchisees
- [ ] Franchisor's financial statements
- [ ] A copy of the franchise agreement

6.8 Franchisee selection scorecard

Criterion	Weight	Score (1–5)	Weighted
Financial capacity (investment plus 6 months' buffer)	25%		
Operating involvement: full-time, hands-on	20%		
Relevant business or people-management experience	15%		
Values fit and willingness to follow the system	15%		
Local network and market knowledge	10%		
Location quality (if proposed)	10%		
References and background check	5%		
Total (approve ≥ 3.8)	100%		

CHAPTER 07

Your 90-day implementation roadmap

Don't try to fix everything at once. Work from the bottom layer up, one sprint at a time.

Weeks	Focus	Actions
1–2	Diagnose	Take the scorecard with your team. Pick the weakest layer. List every registration and filing and fix anything overdue. Separate bank accounts.
3–4	Foundation	Set up cloud accounting with the chart of accounts. Load the compliance calendar. Build the 13-week cash forecast. File your trademark.
5–6	People	Update appointment letters for the Labour Codes. Publish the attendance and leave policy. Go digital with attendance and payroll. Use the onboarding checklist for the next hire.
7–8	Systems	Write the top 10 SOPs. Build the product and services catalogue with margins. Add one recurring-revenue offer. Map your digital stack and close the gaps.
9–10	Growth	Write the one-page plan. Launch the weekly KPI dashboard and leadership meeting. Set up CRM pipeline stages and a referral programme.
11–12	Scale	Retake the scorecard. If Layers 1–4 score 8+, start the investor-readiness or franchise-readiness checklist. Build the data room or operations manual.
13	Review	Quarterly planning session. Celebrate progress and set the next 90 days.

Template index

Every template in this book is in the `templates/` folder, ready to copy into your own systems:

File	What's inside
`Business-Toolkit.xlsx`	One workbook with a sheet per template: scorecard, chart of accounts, compliance calendar, 13-week cash flow, attendance register (with auto-totals), leave tracker, onboarding tracker, product catalogue (with margin formulas), KPI dashboard, sales pipeline, cap table (with formulas), franchise unit economics, franchisee scorecard
`csv/`	The same sheets as CSV files for Google Sheets, Notion or Airtable import
`onboarding-checklist.md`	Editable onboarding checklist, pre-boarding to Day 90
`attendance-leave-policy.md`	Fill-in-the-blanks attendance and leave policy

File	What's inside
`appointment-letter-template.md`	Appointment letter outline aligned to the Labour Codes checklist
`sop-template.md`	Standard operating procedure template
`pitch-deck-outline.md`	12-slide deck outline with prompts
`franchise-ops-manual-outline.md`	Operations manual skeleton

Sources and further reading

- Startup India / DPIIT recognition and the Seed Fund Scheme: startupindia.gov.in, seedfund.startupindia.gov.in
- Income Tax Department, taxation of start-ups: incometaxindia.gov.in/income-from-business/profession-taxation-of-start-ups
- New Labour Codes effective 21 Nov 2025: KPMG Flash News, "GOI notifies implementation of Labour Codes"; RSM India Newsflash; greytHR "Labour Codes 2025 are live"
- GST portal and CBIC (thresholds, returns, invoice rules): gst.gov.in, cbic-gst.gov.in
- Ministry of Corporate Affairs (incorporation, annual filings): mca.gov.in
- IP India (trademarks): ipindia.gov.in
- EPFO and ESIC: epfindia.gov.in, esic.gov.in
- CGTMSE (collateral-free MSE credit): cgtmse.in · Udyam: udyamregistration.gov.in
- Franchising in India guides: LegalWiz, Razorpay Rize, IncorpX ("How to register a franchise business in India")
- US FTC Franchise Rule (16 CFR Part 436): ftc.gov/business-guidance/franchises

ABOUT

Khosha Systems

Software development and AI transformation, based in Bangalore. We replace duct-tape operations with unified system architecture, built on our belief that technology should compound in value over time.

Services

- Web applications and SaaS platforms
- Websites and landing pages
- AI transformation: agents, workflow automation, LLM integration
- Mobile applications (React Native, PWA)
- System architecture and technical audits
- Digital transformation: legacy modernisation, cloud migration, process automation

Products

- **RetailerOS**: retail operating system for mobile and electronics retailers
- **Real Estate CRM**: leads, site visits, channel partners, document vault
- **Visitor Management System**: digital check-in, WhatsApp alerts, RERA-compliant logs
- **Custom workforce products**: attendance, onboarding and operations tools built around your business

Turn this framework into software

Every checklist in this book can become a live system: attendance that flows into payroll, onboarding that runs itself, a KPI dashboard that updates daily, a franchise portal that shows every outlet in real time. If you'd like help building yours, talk to us.

khoshasystems.com · ankit@khoshasystems.com · +91 888 497 2272
Kumara Park, Seshadripuram, Bangalore

© 2026 Khosha Systems. You may print, copy and adapt the templates for use in your own business. This publication is general information and not legal, tax, accounting or investment advice. Always consult a qualified professional for your situation.